TABLE 11—HETEROGENEITY IN THE EFFECT ON BORROWING, ATTAINMENT, AND FINANCIAL OUTCOMES BY RACE/ETHNICITY

Panel A. Borrowing, attainment, and earnings outcomes

Dependent variable:	Cumulative loans		Attainment and earnings, 10 years after entry				
	4 years after entry (1)	6 years after entry (2)	Years enrolled (3)	Credits attempted (4)	Any degree (5)	BA degree (6)	ln(earnings) (7)
Constrained × *cohort* ∈ {2006, 2007, 2008}							
× *Black* (N = 16,592)	1,349	1,671	0.13	4.4	0.033	0.027	0.057
	(746)	(857)	(0.07)	(2.1)	(0.023)	(0.024)	(0.042)
	{0.042}	{0.075}	{0.373}	{0.290}	{0.027}	{0.080}	{0.463}
× *Hispanic* (N = 23,356)	1,902	1,631	0.13	5.3	0.029	0.045	0.018
	(385)	(504)	(0.06)	(1.6)	(0.014)	(0.015)	(0.023)
	{0.137}	{0.356}	{0.001}	{0.001}	{0.048}	{0.006}	{0.274}
× *White* (N = 32,348)	1,762	1,865	−0.003	3.6	0.043	0.050	0.081
	(999)	(1183)	(0.04)	(1.2)	(0.014)	(0.012)	(0.026)
	{0.056}	{0.119}	{0.922}	{0.023}	{0.028}	{0.026}	{0.004}
Test of equality: p-value	0.753	0.983	0.131	0.644	0.671	0.682	0.142

Panel B. Borrowing and financial outcomes

Dependent variable:	Cumulative loans		Financial outcomes, 10 years after entry				
	4 years after entry (8)	6 years after entry (9)	Ever delinquent (stud. loans) (10)	Ever default (stud. loans) (11)	Any delinquent debt (12)	Any mortgage (13)	Any auto loan (14)
Constrained × *cohort* ∈ {2006, 2007, 2008}							
× *Black majority home zip*	1,841	3,490	−0.075	−0.072	−0.033	0.033	0.017
(N = 10,693)	(986)	(1,461)	(0.015)	(0.014)	(0.011)	(0.011)	(0.016)
	{0.041}	{0.009}	{0.004}	{0.001}	{0.044}	{0.012}	{0.308}
× *Hispanic majority home zip*	1,382	677	0.005	0	−0.007	0.004	−0.069
(N = 8,909)	(995)	(2,077)	(0.017)	(0.019)	(0.009)	(0.011)	(0.018)
	{0.174}	{0.678}	{0.6831}	{0.996}	{0.697}	{0.890}	{0.031}
× *White majority home zip*	2,081	3,088	−0.007	−0.012	0	−0.001	−0.004
(N = 121,403)	(425)	(592)	(0.005)	(0.004)	(0.004)	(0.006)	(0.006)
	{0.075}	{0.047}	{0.269}	{0.040}	{0.834}	{0.895}	{0.588}
Test of equality: p-value	0.758	0.506	0.001	0.003	0.017	0.028	0.003

Notes: Texas four-year entrant sample, excluding students with a race/ethnicity other than Black, Hispanic, or White (panel A) or CCP/Equifax sample, excluding students with home zip codes that do not have a Black, Hispanic, or White majority (panel B). Each column within a panel contains results from separate regression of the outcome on an indicator for being constrained at entry interacted with an indicator for being in the 2006, 2007, or 2008 entry cohorts interacted with race/ethnicity indicators (panel A), or indicators for home zip code having a Black-, Hispanic-, or White-majority population (panel B). Regressions also include standard controls fully interacted with race/ethnicity. Robust standard errors, clustered by entry institution (Texas sample) or entry state (CCP sample), in parentheses; p-values from wild cluster bootstrap-t in brackets.

we use demographics of a student's "home" zip code to proxy for these characteristics.[63] Panel B of Table 11 shows that higher loan limits lead to significantly larger reductions in student loan delinquency and default for borrowers from Black-majority zip codes compared to those from White- and Hispanic-majority zip codes. Constrained borrowers from majority-Black communities experience statistically significant 7.5 and 7.2 percentage point reductions in student loan delinquency and

[63] We define a "home" zip code as the zip code in which we first observe a student borrower. We then merge 2000 census data on the racial/ethnic makeup of that zip code and IRS Statistics of Income data on the mean AGI. Models using averages across zip codes that a student borrower ever resided in yield similar results, as do models that divide zip codes based on having a racial/ethnic supermajority (more than 75 percent of residents belonging to the racial/ethnic group). The Texas data do not include home zip codes.